

14. *Drive Insurance Co. v. Jireh Auto Transportation, et al*, Case No. CIVSB2536009
Defendant Jireh's Demurrer
6/22/26, 10:00 a.m., Dept. S-17

This hearing was continued from the original April 8, 2026, date

The Court would **SUSTAIN** the demurrer with thirty (30) days' leave to amend.

Here, the movant's filed its demurrer, alleging uncertainty. Plaintiff failed to substantively oppose the demurrer; although, it submitted a declaration requesting that leave to amend be granted. (See Nivinskus Decl., ¶7.) Thus, it appears the arguments are conceded. (*DuPont Merck Pharmaceutical Co. v. Superior Court* (2000) 78 Cal.App.4th 562, 566 ["By failing to argue the contrary, plaintiffs concede this issue."]; see *Pacifica First National, Inc. v. Abekasis* (2021) 50 Cal.App.5th 654, 657 [Not returning to a topic on reply, "is a concession."]) The Court would, therefore, sustain with leave to amend.

15. *Navarro Morales v. Blue Star Claims, et al*, Case No. CIVSB2607908
Petitioner Navarro Morales's Petition to Compel Arbitration
6/22/26, 10:00 a.m., Dept. S-17

Tentative Ruling

The Court would **GRANT**, in part, and compel Respondent U.S. Fire to arbitrate Petitioner's claims. The Court would, however, **DENY** the motion as to Respondents Blue Star and would further **DENY** the request to consolidate the arbitration proceedings with the proceeding involving Mobilitas.

The Court would **DENY** Petitioner's request for fees.

Case Summary

Through the pending proceeding, Petitioner Navarro Morales seeks to compel Respondents Blue Star Claims, LLC (Blue Star) and United States Fire Insurance Co. (U.S. Fire) to arbitrate his insurance claim. The petition indicates Morales was working as a rideshare driver and was injured in a rear-end collision in February 2024, by an uninsured motorist. At the time of the collision, the rideshare service maintained the at issue insurance for its drivers that included uninsured motorist coverage. That insurance policy also contains an arbitration provision.

Although Petitioner submitted a claim for benefits and demanded arbitration, Blue Star denied that arbitration proceedings were required. The Petition also indicates Blue Star administered the policy, but the documents attached to the Petition indicates U.S. Fire was the insurer.

Petitioner further indicates that he has a separate uninsured motorist arbitration pending with Mobilias Insurance Company (Mobilias) but that insurer contends it does not cover medical damages. Morales therefore seeks to compel Respondents (Blue Star and U.S. Fire) to arbitrate his claim within the same proceeding as Mobilias. Thus, he filed this instant Petition.

Analysis

In this case, Petitioner submits a copy of the “Blanket Occupational Accident Certificate” which makes no reference to Blue Star. It only references U.S. Fire. The Petition also acknowledges that Blue Star merely “administered” the claim. (Petition, ¶4.) Thus, Petitioner essentially concedes that Blue Star was not a party to the underlying insurance contract. As a result, Petitioner offers no legal or factual basis for subjecting Blue Star to arbitration. Claims administrators are also generally not a party to the insurance contract and cannot be compelled to arbitration. (See *DMS Services, LLC v. Superior Court* (2012) 205 Cal.App.4th 1346 [non-signatory claims administrator could not be compelled to arbitrate claims under agreement between carrier and covered person].)

U.S. Fire, on the other hand, concedes that arbitration is appropriate as to it. Thus, the only remaining issue is whether the Court can compel arbitration of the claim against U.S. Fire alongside the claim with Mobilias:

As a starting point, the arbitration language in the policy is minimal, merely indicating that the arbitration provision permanently bars individual or class action lawsuits brought by the covered person or the recipient of payment. There is no contractual language suggesting the parties agreed to combining arbitration of separate proceedings.

While Petitioner references Code of Civil Procedure section 1281.2, he does not address separate arbitration proceedings. While not cited by Petitioner, section 1281.3 addresses the consolidation of separate arbitration proceedings. In particular, the statute provides that “[a] party to an arbitration agreement may petition the court to consolidate separate arbitration proceedings, and the court may order consolidation of separate arbitration proceedings when: (1) separate arbitration agreements or proceedings exist between the same parties; or one party is a party to a separate arbitration agreement or proceeding with a third party; and (2) the disputes arise from the same transactions or series of related transactions; and (3) there is common issue or issues of law or fact creating the possibility of conflicting rulings by more than one arbitrator or panel of arbitrators.

Here, in this case, having failed to even reference section 1281.3, Petitioner fails to provide an analysis explaining why consolidation under the statute would be appropriate, and the Court is not inclined to reach the analysis *sua sponte*.

It should also be noted that any ruling regarding such consolidation would necessarily impact Mobilitas. However, Mobilitas is not a party to this action and is not named in the Petition. While Petitioner has filed a proof of service indicating Mobilitas was served with this Petition, that only occurred via e-service and only as of May 28, 2026. (See Proof of Service, May 26, 2026.) A separate proof of service suggests Mobilitas was served, again only via e-service, on April 7, 2026, as to the Petition itself.¹ Thus, the Court has concerns about due process, given that Mobilitas has not appeared in this matter. The Court would therefore not, at this time, consolidate the matters.

Navarro Morales's Fee Request: Finally, Petitioner asks for fees under Code of Civil Procedures section 128.5, which permits the recovery of fees “as a result of actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay.” However, there is generally a 21-day safe harbor provision, meaning the motion for sanctions cannot be filed “unless 21 days after service of the motion or any other period as the court may prescribe, the challenged action or tactic is not withdrawn or appropriately corrected.” (Code Civ. Proc., § 128.5(f)(1)(B).) Even assuming the notice period was complied with, Respondent U.S. Fire has not opposed the motion. Thus, it appears no sanctions are proper.

17. *Araujo v. Church & Dwight Co., Inc., et al*, Case No. CIVSB2320517 (consl.: CIVSB2324269)
Motion for Final Approval of Class Action Settlement
6/22/26, 1:30 p.m., Dept. S-17

The Court would **GRANT**.

Here, Plaintiff sent a notice to the Labor and Workforce Development Agency (LWDA) on June 20, 2023, in anticipation of a claim for civil penalties pursuant to the Private Attorneys General Act (PAGA). On August 25, 2023, she filed this *instant* case as a representative Private Attorneys General Act (PAGA) matter. At the same, she filed a *companionate* putative wage-and-hour class action (CIVSB2324269), alleging violations relating to (1) overtime wages; (2) meal periods; (3) rest breaks; (4) minimum wages; (5) final pay; (6) wage timeliness; (7) accurate wage statements; (8) keeping payroll records; (9) reimbursements; as well as (10) violation of the unfair competition law (UCL). Importantly, the UCL claim is underpinned by the alleged wage-

¹ The Court notes this constitutes proper service for the Petition as to *Respondents*. (See Code Civ. Proc., § 1290.4; compare Code Civ. Proc., §§ 415.10 and 416.10 [outlining proper methods of service]; see also § 413.30 [suggesting e-service may be proper only if service cannot be otherwise perfected with reasonable diligence]; § 410.50(a) [general appearance is equivalent to personal service]; *Ziller Electronics Lab GmbH v. Superior Court* (1988) 206 Cal.App.3d 1222, 1229 [personal jurisdiction is acquired by service of process in accordance with statutory and due process requirements]; *American Express Centurion Bank v. Zara* (2011) 199 Cal.App.4th 383, 392 [actual notice of the action is not a substitute for proper service of process and does not confer jurisdiction].)

and-hour violations, as are the PAGA penalties in this matter. Ultimately, the Court consolidated these matters on July 22, 2025.

During the litigation, Plaintiffs sought and received extensive discovery. They also received substantial payroll and time records, as well as handbook and policy documents. Thereafter, on December, 2024, the parties engaged in a full-day, arms-length mediation with Keven Barnes an experienced neutral. The parties ultimately reached settlement by September of 2025. The parties provided the LWDA notice of the settlement concurrently with the filing of this instant motion for preliminary approval.

The parties successfully moved for Preliminary Approval of the Settlement before this Court on February 2, 2026. As preliminary matter, this Court found the total settlement amount of \$375,000.00 to be fair, reasonable, and adequate given the strength of the Plaintiff's case and the risks involved in litigation. Adequate discovery and investigation had occurred, and there was no evidence of fraud or collusion.

There are 160 class members and 113 PAGA aggrieved employees. (Singh Decl., ¶15.) Notices were mailed on or about February 27, 2026. (Singh Decl., ¶18.) There were 8 notices returned; however, 5 were re-mailed after skip-tracing efforts. (*Id.*, ¶¶9-10.) Thus, only 3 packets are considered undeliverable. As of the date of this motion, there was only one request for exclusion, and no objections or workweek disputes. (*Id.*, ¶¶11-15.) Thus, the class would now include only 159 members. This Motion seeks final approval of the proposed settlement.

Statement of the Law

Settlement of a class action requires court approval. (Rules of Court, rule 3.769.) The moving party must demonstrate that the settlement is "fair, adequate and reasonable." (*Kullar v. Foot Locker Retail* (2008) 168 Cal.App.4th 116, 126.) The court has "broad discretion in making this determination." (*In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.) Relevant factors may include "the strength of the plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintain class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement." (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.) This list of factors "is not exhaustive and should be tailored to each case." (*Ibid.*) The court may "engage in a balancing and weighing of factors depending on the circumstances of each case." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 245 overruled on other grounds.)

"Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement." (*Wershba, supra*, 91 Cal.App.4th at p. 245, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1801.) "The court must therefore scrutinize the proposed settlement agreement to the extent

necessary to ‘reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.’” (*Ibid.*, quoting *Officers for Justice v. Civil Service Com’n* (9th Cir. 1982) 688 F.2d 615, 625.) The settlement is entitled to “a presumption of fairness . . . where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (*Kullar v. Foot Locker Retail* (2008) 168 Cal.App.4th 116, 128, quoting *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1802.)

Summary of the Proposed Class Settlement

The proposed final settlement terms are largely in line with those approved preliminarily: Defendants will pay a gross, non-reversionary settlement amount of \$375,000.00, from which will be deducted (1) \$125,000.00 for Class Counsel’s attorneys’ fees (1/3rd of gross); (2) costs of \$18,802.90; (3) Plaintiff’s enhancement fee of \$10,000.00 total; (4) claims administration fees of \$15,000.00; and (5) PAGA penalties of \$40,000.00 (of which \$30,000, or 75%, will go to the LWDA and \$10,000, or 25%, will go to the aggrieved employees).

This will leave a wage-and-hour only net settlement amount of a non-reversionary \$166,197.10. This amount would be split by the class of 159 employees in proportionate shares determined by number of workweeks within the Settlement Class Period. The average per class member would be \$1,045.26.

Since there are 113 aggrieved employees for PAGA purposes, the average PAGA payout is \$88.50.

Tentative

The Court finds no evidence of fraud or collusion. Class counsel are able, experienced, and well-qualified to represent the class. The representative is also well qualified to represent. The settlement was reached through an arms-length negotiation. The Court incorporates the reasons for the preliminary approval, issued on October 8, 2025, into its ruling by this reference and would:

1. Certify the Class for settlement.
2. Approve the settlement as fair and reasonable, finding that class members were given notice, advised of their rights and to object or exclude themselves.
3. Appoint Cynthia Araujo as Class Representative and approve her service award of \$10,000.00.
4. Appoint the CounselOne, PC, and Laywers for Justice, PC, as Class Counsel for settlement purposes.
5. Approve administrative expenses as stated to CPT Group, Inc. at \$15,000.00.
6. Approve the attorneys’ fees as stated at \$125,000.00, with costs of \$18,802.90, for litigation of this action. Though the Court expressly disagrees that the geographic region

would support the indicated *blended* rate of \$850 per hour. However, even at reduced rates more appropriate to the region the proposed attorneys' fees are supported in light of a modest multiplier sufficient to reward the risk and complexity of this case. (See, e.g., Matavosian Decl., ¶¶13-14 & 22; Exhs. A-B.)

7. Direct the clerk to enter the Court's order as final judgment.
8. Reserve continuing jurisdiction for the purposes of implementing, enforcing, or administering the Settlement or enforcing the terms of the Judgment.

TENTATIVE